

FARMOUT AGREEMENT

This Farmout Agreement is made February 14, 2025 between Esperanza Ranch Partners, Ltd. ("Farmor") and San Joaquin Oil Company ("Farmee").

Recitals

Farmor owns the oil and gas leasehold covering Township 10 South, Range 23 East, N.M.P.M., Section 21: NE/4, Chaves County, New Mexico (160.00 acres), and Farmee desires to earn an assignment by drilling.

Earning Well

Farmee shall, at its sole cost and risk, commence the Earning Well on or before September 15, 2025 and drill it with due diligence to a depth sufficient to test the Marcellus, or to 11,200 feet, whichever is shallower (casing point).

Earned Acreage and Assignment

Upon completion of the Earning Well as a well capable of production, Farmor shall assign to Farmee the leasehold as to the spacing unit for the Earning Well, insofar as it covers from the surface to the base of the Marcellus.

Reserved Override and Back-In

Farmor reserves an overriding royalty of 4.0%, convertible at Farmor's election after Payout to a 25% working interest (a back-in), bearing its proportionate share of costs thereafter.

Continuous Drilling

Farmee may earn additional acreage by conducting continuous drilling operations with no more than 120 days between the completion of one well and the spudding of the next.

FARMOR: Esperanza Ranch Partners, Ltd.

FARMEE: San Joaquin Oil Company